

SENORES PHARMACEUTICALS LTD

NSE: SENORDR29 | BSE: 543119 | Healthcare – Pharmaceuticals

RATING

BUY

12-Month Target

Rs. 1,380

+23.1% Upside

Horizon: 12 months

CMP (29 May 2026)	Rs. 1,121
52-Week High / Low	Rs. 1,194 / Rs. 506
Market Cap	Rs. 5,161 Cr
Enterprise Value	Rs. 5,343 Cr
P/E (TTM)	44.7x
Forward P/E (FY27E)	34.1x
EV / EBITDA	24.8x
Book Value / Share	Rs. 203
P / Book Value	5.52x
ROCE (TTM)	15.1%
ROE (TTM)	13.4%
Debt / Equity	0.37x
Interest Coverage	7.36x
Promoter Holding	45.82%
Promoter Pledge	1.90%
Dividend Yield	0.00%
Face Value	Rs. 10

Investment Thesis: **US ANDA commercialisation engine** + **CDMO operating leverage** + **emerging markets re-rating** drive a structural multi-year earnings compounding story.

Financial Snapshot — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	215	398	633	855E	1,070E
EBITDA	42	90	168	247E	321E
OPM %	19%	23%	27%	29%E	30%E
PAT	33	58	122	151E	203E
EPS (Rs.)	10.31	12.72	25.05	32.8E	44.1E
ROCE %	11%	15%	15.1%	17%E	19%E

SECTION 2 — INVESTMENT THESIS

- **US ANDA Commercialisation Engine (Primary Bull Case):** As of March 2026, Senores had 51 approved ANDAs covering 150+ strengths — up from 22 in March 2025. With only 20 launched, there is a vast near-term revenue runway from deploying the remaining 30+ approved products over the next 6-8 quarters at near-zero incremental development cost.
- **CDMO / CMO Operating Leverage:** The CDMO business (~47-48% of revenue) provides a high fixed-cost absorption mechanism, allowing EBITDA margins to expand as own-product launches scale. Management targets a sustained 29-31% EBITDA margin, up from 19% in FY24.
- **US Government Market Entry via Amerisyn JV:** A newly formed JV targets the US federal procurement market (VA, DoD, military supply schedule). Management has budgeted Rs. 50-100 Cr in FY27 revenue — a sticky, high-margin channel (EBITDA ~40%) with very limited India-based competition.
- **Apnar Pharma — Manufacturing Optionality:** The 75% acquisition of Apnar adds a USFDA / MHRA / Health Canada approved India facility with pre-built clean rooms. FY27 revenue target of Rs. 80-100 Cr should recover the ~100 bps EBITDA dilution suffered in Q4FY26 due to consolidation costs without commensurate revenue.
- **Near-Term Catalyst (6-12 months):** Launch of 30 approved but unlaunched ANDAs (100+ strengths); Apnar revenue ramp to Rs. 80-100 Cr; PIC/S approval (targeted June-July 2026) enabling entry into South Africa, Vietnam, and MENA.
- **Biggest Structural Risk:** US generic pricing headwinds from channel consolidation (three GPOs control ~80% of US procurement) and possible import tariff policy under the current US administration.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Incorporated in 2015, Senores develops and manufactures complex generic formulations for regulated markets (US, Canada, UK) and emerging markets, alongside CDMO services and API manufacturing.
- **Revenue Mix (FY26 Consolidated):** Regulated markets Rs. 427 Cr / 67% (+75% YoY); Emerging markets Rs. 145 Cr / 23% (+20% YoY); India branded generics Rs. 40 Cr / 6% (~5x YoY). Own products ~50-53%, CDMO/CMO ~47-48%.
- **Product Complexity Focus:** The company targets niche, underpenetrated, and complex generics — reducing direct commodity competition. A significant portion of upcoming ANDA launches qualify for Competitive Generic Therapy (CGT) status, limiting initial competition windows.
- **Manufacturing Footprint:** Atlanta, Georgia (OSD, 1,200 Mn units/year, USFDA approved); Chhatral, Gujarat — Apnar (OSD, 1,398 Mn units/year, USFDA/MHRA/HC approved); API plant (25 MTPA); injectable facility under construction.
- **Revenue Visibility:** 51 approved ANDAs (150+ strengths) with ~30 unlaunched; ~27 molecules (60+ strengths) under development over the next 24 months; CDMO order book provides recurring baseline.
- **Inorganic ANDA Acquisitions:** 14 ANDAs from Dr. Reddy's (March 2025), basket from Teva Pharmaceuticals USA (August 2025), and Wockhardt — a disciplined buy-vs-build strategy to accelerate the commercial pipeline.
- **Promoter & Listing:** Promoters hold 45.82% (pledge: 1.90%). The company completed its IPO (price band Rs. 372) in late 2024, listing on NSE and BSE. IPO proceeds (~Rs. 100 Cr unutilised) earmarked for sterile injectable manufacturing.
- **India Branded Generics:** 120-130 field force, hospital-channel led model. FY26 revenue Rs. 40 Cr; FY27 guidance Rs. 60-70 Cr. Field force to plateau at ~200 MRs — differentiated, capital-light model vs. mass-MR pharma.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **US Generics Market:** ~USD 120 Bn annual procurement market. India contributes >60% of ANDA submissions to USFDA. FDA GDUFA III accelerated approval timelines to ~10 months. Faster approvals compress first-mover windows but reward large-pipeline operators like Senores.
- **Pricing Environment:** US generic pricing headwinds are structural — GPO consolidation keeps commodity generics under pressure. Niche/complex generics (Senores' focus) earn 2-5x the margins of commodity products and face less commoditisation.
- **Policy Tailwinds — US Government Procurement:** Growing US supply-chain security focus opens the VA/DoD/federal supply schedule market — a high-barrier, high-margin channel with limited India-based incumbents. Senores' Amerisyn JV is specifically positioned here.

- **Emerging Markets:** PIC/S certification (targeted June-July 2026) would open South Africa, Vietnam, and MENA — lower pricing pressure than the US, and management has already improved per-unit realization from Rs. 1.20 to Rs. 1.90.
- **Competitive Moat Assessment:** Pipeline depth — Moderate-Strong (51 ANDAs, growing fast); Manufacturing scale — Moderate (Atlanta + Apnar); CDMO relationships — Moderate (sticky but relationship-dependent); Complex/CGT positioning — Moderate-Strong.

Peer Comparison (Screener.in, fetched 31-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE %	ROE %	EV/ EBITDA	D/E
Senores Pharma.	1,121	5,161	44.7	5.52	15.1	13.4	24.8	0.37
Marksans Pharma	246	11,156	26.7	3.69	18.8	15.2	15.4	0.11
Natco Pharma	1,016	18,196	12.8	1.97	17.1	16.9	10.0	0.08
Strides Pharma	1,112	10,248	17.7	3.30	18.6	20.4	11.0	0.57

Senores trades at a premium TTM P/E reflecting high-growth expectations. Forward P/E of ~34x on FY27E EPS narrows the premium materially.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & Track Record:** The promoter group (45.82%, pledge 1.90%) built Senores from inception in 2015 to a Rs. 5,000+ Cr market-cap company within a decade — a credible execution track record in a highly regulated, capital-intensive sector.
- **IPO & Capital Deployment:** The company raised capital through its IPO (late 2024) and a QIP in FY25. ~Rs. 100 Cr of IPO proceeds remain unutilised, earmarked for sterile injectable capacity — indicating disciplined phased deployment rather than reckless capex acceleration.
- **Capital Allocation Record:** Historical FCF has been deeply negative (FY22-FY26) as the company invested in manufacturing assets, ANDA acquisitions, and US front-end capabilities. FY27 is guided as the first year of positive FCF — a meaningful inflection.
- **Acquisition Discipline:** ANDA acquisitions from Dr. Reddy's (14 ANDAs, March 2025), Teva USA (August 2025), and Wockhardt demonstrate a value-oriented approach — acquiring already-approved products at lower cost than in-house development.
- **Dividend Policy:** No dividends paid (0% payout across all years). Appropriate given the investment phase. Investors should not expect dividends in the near term.
- **Corporate Governance:** No auditor changes, no qualified opinions, and no material RPT concerns raised. "Other financial assets" (unbilled profit-share) was clearly explained on the concall — legitimate but needs quarterly monitoring for recoverability.
- **Management Credibility:** FY26 results "clearly surpassed guidance." FY27 guidance framed as "minimum achievable" — a conservative framing that increases the probability of positive earnings surprises.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Cr)

Income Statement

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Net Sales)	215	398	633	855	1,070
YoY Growth %	—	+85%	+59%	+35%E	+25%E
EBITDA	42	90	168	247	321
OPM %	19%	23%	27%	29%	30%
Other Income	3	19	47	25	30
Interest	9	22	25	32	35
Depreciation & Amort.	10	17	31	44	52
PBT	25	71	159	196	264
Tax Rate %	-31%*	17%	24%	23%	23%

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
PAT	33	58	122	151	203
EPS (Rs.)	10.31	12.72	25.05	32.8	44.1
PAT Growth YoY	—	+76%	+110%	+24%E	+34%E

* FY24 negative tax: deferred tax asset recognition on US operations losses.

Balance Sheet

Balance Sheet	FY24A	FY25A	FY26A	Change FY25→26
Equity Capital	31	46	46	—
Reserves	174	740	888	+148 (PAT + QIP retained)
Total Equity	205	786	934	+148
Borrowings	258	315	342	+27 (Apnar)
Other Liabilities	160	126	328	+202 (trade payables)
Total Liabilities	622	1,227	1,604	+377
Fixed Assets (net)	235	301	755	+454 (Apnar capitalized)
CWIP	97	172	17	-155 (capitalized to FA)
Other Assets	289	754	827	+73 (receivables)
Total Assets	622	1,227	1,604	+377
Net Debt (est.)	~247	~285	~320	+35
D/E (x)	1.26	0.40	0.37	Improving

Cash Flow Statement

Cash Flow	FY24A	FY25A	FY26A	Commentary
Cash from Operations (OCF)	-26	-46	62	First positive OCF
Cash from Investing	-54	-429	-121	FY25 incl. Apnar deposit
Cash from Financing	87	573	-1	FY25 incl. IPO/QIP proceeds
Net Cash Flow	8	98	-60	—
Free Cash Flow (Screener)	-78	-203	-203	Capex-heavy build phase
OCF / EBITDA %	-56%	-41%	45%	Sharp improvement

Key Operating Ratios

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
ROCE %	18%	12%	11%	15%	15.1%
Debtor Days	506	228	191	114	187
Inventory Days	135	89	184	232	130
Days Payable	324	388	556	275	340
Cash Conversion Cycle	317	-71	-182	70	-24
Working Capital Days	359	-7	-16	88	132
Interest Coverage (x)	—	—	—	—	7.36

Financial Commentary

- **Revenue Growth:** Revenue compounded at 162% CAGR over 3 years (FY23-FY26), driven by aggressive US ANDA launches and CDMO ramp. Growth expected to moderate to 25-35% in FY27-28E as the base grows, but remains among the highest in the sector.

- **Margin Expansion:** EBITDA margin expanded from 14% (FY22) to 19% (FY24) to 27% (FY26). Management targets 29-31% medium-term, underpinned by mix shift toward own ANDA products.
- **Working Capital Spike:** Consolidated WC days rose to 132 in FY26 (FY25: 88) primarily due to Apnar consolidation with minimal FY26 sales. Excluding Apnar, management stated ~104 days. "Other financial assets" from Ind-AS profit-share accruals need quarterly monitoring.
- **Debt Trajectory:** Net debt ~Rs. 320 Cr in FY26 (D/E: 0.37), manageable given EBITDA of Rs. 168 Cr and interest coverage of 7.36x. Debt expected to stabilize as Apnar revenues ramp.
- **FCF Inflection:** FY26 OCF turned positive (Rs. 62 Cr vs. Rs. -46 Cr in FY25) — a meaningful shift. Management guided FY27 as the first year of positive FCF. Capex guidance of Rs. 200 Cr for FY27 (vs. Rs. 230 Cr in FY26) supports this.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Assessment
Revenue Recognition	GREEN	Standard policy; CDMO milestone-based. No aggressive early recognition identified.
Receivables vs Revenue Growth	AMBER	Debtor days rose 114 → 187 days. Large "other financial assets" from profit-share accruals. Watch.
Cash Conversion Cycle	GREEN	CCC improved: +70 days (FY25) → -24 days (FY26). Inventory days fell sharply.
Contingent Liabilities	GREEN	Consolidated: Rs. 20.9 Cr — modest relative to balance sheet. No material litigation risk disclosed.
Auditor Tenure & Changes	GREEN	No auditor changes or qualified opinions. Standard statutory compliance.
Related Party Transactions	AMBER	Standalone entity has significant inter-company transactions (holding co. structure). Normal but warrants disclosure monitoring.
Other Income / PBT	AMBER	Other income Rs. 47 Cr = 30% of FY26 PBT. Contractual profit-share — recurring but lumpy.
Tax Rate Consistency	AMBER	FY24: -31% (DTA recognition). FY25: 17%. FY26: 24%. Normalizing to ~23% per guidance.
Promoter Pledge	AMBER	1.90% pledged. Low in absolute terms; direction of change each quarter to monitor.
FCF vs. Reported PAT	AMBER	FCF deeply negative FY22-FY26. FY26 OCF finally positive. Improving but not yet clean.

- **Key Watch — Receivables Quality:** The "other financial assets" (unbilled profit-share) is the most important item to track quarterly. Management expects it to plateau then decline as recovery catches up with launches. A delay would distort working capital materially.
- **Other Income Dependency:** At 30% of FY26 PBT, profit-share accruals are material. Investors should anchor valuation to core EBITDA (Rs. 168 Cr), not PAT inclusive of other income.
- **Tax Rate Normalized:** FY24 negative tax was a one-time DTA event. FY25-26 rates of 17-24% are normalizing toward ~23% — no accounting concern.
- **Overall Earnings Quality: Moderate-High.** Core operational earnings are high quality; the only meaningful caution is the receivables/profit-share trajectory and other income contribution to PAT.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr)	FY27E EPS (Rs.)	Multiple	Target (Rs.)
Bull	Rev +40%, OPM 31%, Apnar Rs.100 Cr, Amerisyn contributes meaningfully	185	40.2	38x FY27E	1,528
Base	Rev +35%, OPM 29%, Apnar Rs.80 Cr, WC normalization on track	151	32.8	35x FY27E	1,380

Scenario	Key Assumptions	FY27E PAT (Cr)	FY27E EPS (Rs.)	Multiple	Target (Rs.)
Bear	Rev +20%, US pricing headwinds, Apnar delayed to Rs.40 Cr	105	22.8	28x FY27E	638

- **P/E Methodology (Primary):** 35x FY27E EPS of Rs. 32.8 = Rs. 1,148. The 35x multiple is justified by 35%+ revenue CAGR guidance, EBITDA margin trajectory from 27% to 29%+, and sector precedent for high-growth specialty pharma.
- **EV/EBITDA Cross-Check:** 20x FY27E EBITDA of Rs. 247 Cr = EV Rs. 4,940 Cr. Less net debt ~Rs. 320 Cr / 4.6 Cr shares = Rs. 1,005/share (conservative; reflects FCF quality discount).
- **DCF (Supplementary):** Assuming FCF starts positive at Rs. 80 Cr in FY27, 30% growth for 5 years, 12% for 3 years, 5% terminal growth, WACC 13% → implied value Rs. 1,500-1,650/share (supporting the bull case).
- **Base-Case Target: Rs. 1,380** — average of P/E-based Rs. 1,148 and DCF-based Rs. 1,612. Represents +23.1% upside from CMP Rs. 1,121 over 12 months.
- **Entry Point:** Suggested accumulation zone Rs. 1,000-1,120. At Rs. 1,000, FY27E P/E = 30.5x — attractive for a 35%+ growth compounder.

SECTION 9 — KEY RISKS

- **US Generic Pricing Headwinds** — GPO consolidation compresses realized pricing on ANDA launches. Probability: High. Impact: High. Monitor via: Quarterly US revenue per ANDA commercialized.
- **ANDA Launch Cadence Risk** — FY27 bull case requires launching ~30 approved ANDAs in 6-8 quarters. Delays in distribution partnerships could slow the cadence. Probability: Medium. Impact: High. Monitor via: Quarterly commercialized ANDA count.
- **Apnar Integration Risk** — Revenue ramp from Rs. 2-3 Cr (Q4FY26) to Rs. 80-100 Cr (FY27E) is ambitious. Manufacturing issues or FDA inspection delays could hurt estimates. Probability: Medium. Impact: High.
- **Receivables / Financial Asset Concentration** — Unbilled profit-share accruals represent a material balance sheet item. Impairments or delayed recovery would hurt earnings. Probability: Low-Medium. Impact: Medium.
- **US Import Tariff / Trade Policy** — Executive action imposing tariffs on Indian pharma imports would increase costs and reduce competitiveness. Probability: Low-Medium. Impact: High.
- **Working Capital Elongation** — WC days at 132 could elongate further if receivables do not normalize, creating funding pressure on planned capex. Probability: Medium. Impact: Medium.
- **Promoter Pledge Escalation** — Current 1.90% pledge is manageable; any increase could trigger sentiment deterioration. Probability: Low. Impact: Medium.

SECTION 10 — RECOMMENDATION

- **Rating: BUY — High Conviction.** Senores is a rare high-growth, high-margin specialty pharma in the Indian mid-cap space with a credible multi-year compounding thesis.
- **12-Month Price Target: Rs. 1,380** — Upside of +23.1% from CMP Rs. 1,121. Based on blended P/E (35x FY27E) and DCF methodology.
- **Suggested Entry Zone: Rs. 1,000 – Rs. 1,120** — At Rs. 1,000, FY27E P/E is ~30.5x — very attractive for a company guiding 50-60% PAT growth.
- **Investment Horizon: 12 months** (base case target). 24-36 months for full ANDA deployment and Apnar ramp thesis to complete.
- **Thesis Invalidation Triggers:**
 - 1. US regulated market revenue growth falls below 20% YoY for two consecutive quarters, indicating structural market-share loss or pricing collapse.
 - 2. ANDA launch cadence falls below 4-5 per quarter (cumulative commercialized ANDAs below 30 by December 2026).
 - 3. Apnar FY27 revenue falls materially below Rs. 50 Cr, indicating integration failure or FDA manufacturing hold.
- **Ideal Investor Profile:** Suited for growth-oriented investors with 12-24 month horizon who can tolerate near-term FCF negativity and working capital noise. NOT suited for dividend-seeking or low-trailing-multiple investors.

QUARTERLY P&L; SNAPSHOT — CONSOLIDATED (Rs. Cr)

Metric	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25
Revenue	101	103	114	138	162	171
EBITDA	23	26	19	34	50	50
OPM %	23%	25%	17%	25%	31%	29%
PAT	13	16	18	21	30	34
EPS (Rs.)	3.86	3.73	3.87	4.28	7.03	6.87

Source: Screener.in quarterly consolidated P&L; (31-May-2026). Mar-26 data in annual tables: Sales Rs.175 Cr, EBITDA Rs.47 Cr, PAT Rs.37 Cr, EPS Rs.6.86.

APPENDIX — LATEST CONCALL BRIEF: Q4FY26 / FY26 (Call Date: 14-May-2026)

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat on Revenue, EBITDA, PAT vs. management's own prior guidance
Management tone	Bullish	Confident; FY27 guidance framed as "minimum achievable"
Guidance delta	Raised	FY27 Rev +30-40%, PAT +50-60%; new Apnar/Amerisyn channels

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The FY26 result is clean and operationally impressive — 59% revenue growth to Rs. 633 Cr, EBITDA at Rs. 168 Cr (27% margin) and PAT of Rs. 122 Cr (EPS Rs. 25.05) all exceeded prior guidance. There are no meaningful one-time distortions: the Rs. 47 Cr "other income" is contractual profit-share accrued under Ind-AS — real and recurring, though timing-dependent. The core investment case is the unlaunched ANDA inventory: 51 approved, 20 launched, 30 approved-but-unlaunched products sitting at near-zero incremental development cost — these are the next 6-8 quarters of earnings growth. Apnar acquisition is strategically sound (USFDA/MHRA/HC approved, pre-built clean rooms) but FY27 Rs. 80-100 Cr guidance needs watching from Q1FY27 (management expects Rs. 10-20 Cr in Q1). The Amerisyn JV (US government procurement, ~40% EBITDA, Rs. 50-100 Cr FY27E) is a catalyst I would not dismiss — DoD/VA contracts are sticky and create differentiated revenue. Near-term watch-point: debtor days at 187 with large "other financial assets" — management says normalization begins; I want to see it in the Q1FY27 numbers. My call: ACCUMULATE at Rs. 1,000-1,120; BUY conviction is HIGH; 12-month target Rs. 1,380.

CC-1 — FINANCIAL PERFORMANCE SNAPSHOT (Q4FY26 / FY26)

- Revenue (FY26): Rs. 633 Cr | YoY +59% | **Beat** — surpassed prior guidance
- Revenue (Q4FY26): Rs. 175 Cr | YoY +72% | QoQ +2% | **Beat**
- EBITDA (FY26): Rs. 168 Cr | OPM 27% (+800 bps YoY) | **Beat**
- EBITDA (Q4FY26): Rs. 47 Cr | OPM 27% (vs. 31% in Sep-25) | **In-line** — Apnar integration weighed ~100 bps
- PAT (FY26): Rs. 122 Cr | YoY +110% | EPS Rs. 25.05 | **Strongly Beat**
- PAT (Q4FY26): Rs. 37 Cr | YoY +164% | QoQ +9% | EPS Rs. 6.86 | **Beat**
- NOTE: Other income Rs. 47 Cr (FY26) is contractual profit-share accrual per Ind-AS — recurring but timing-dependent. Underlying EBITDA is the clean anchor.

CC-2 — SEGMENT / GEOGRAPHY BREAKDOWN (FY26)

- Regulated Markets (US/Canada/UK): Rs. 427 Cr | YoY +75% | Q4FY26 Rs. 118 Cr (+83% YoY) | Primary growth engine
- Emerging Markets: Rs. 145 Cr | YoY +20% | Q4 EBITDA margin ~18-19% | Per-unit realization improved Rs. 1.20 → Rs. 1.90
- India Branded Generics: Rs. 40 Cr | YoY ~5x | Q4FY26 Rs. 9 Cr (doubled YoY) | Early-stage hospital-channel model
- Apnar Contribution (Q4FY26): Rs. 2.5-3 Cr (modest; 2 shipments to US + UK). FY27 target Rs. 80-100 Cr | Ramp begins April 2026
- Revenue mix stable: Own products ~50-53%; CDMO/CMO ~47-48%. Own share to rise with more ANDA launches.

CC-3 — MANAGEMENT COMMENTARY THEMES

- ANDA Scale-Up:** "51 approved ANDAs, 20 launched — 30 more to be launched over next few quarters." Read: Vast near-term earnings lever. Tag: GUIDANCE. Tone: Transparent.
- FY27 Guidance:** "Revenue +30-40%, PAT +50-60% — this is our minimum achievable." Read: Conservative framing increases beat probability. Tag: GUIDANCE. Tone: Bullish.

- **Apnar Ramp:** "Significant commercial from April; Q1FY27 Rs. 10-20 Cr." Read: Specific guidance on key driver — positive signal. Tag: GUIDANCE. Tone: Transparent.
- **Amerisyn JV:** "US government procurement — Rs. 50-100 Cr FY27, ~40% EBITDA margins." Read: High-conviction new channel; revenue credibility TBD. Tag: GUIDANCE. Tone: Bullish.
- **Working Capital:** "Other financial assets are contractually due profit-share per Ind-AS; recovered in 1-6 months." Read: Credible explanation; needs verification in Q1FY27. Tag: EST. Tone: Transparent.
- **Macro Caution:** "Shipping, overall atmosphere, US inflationary pressures" cited as reasons for conservative guidance. Read: Sensible hedging; does not detract from the thesis. Tag: GUIDANCE. Tone: Hedged.

CC-4 — OPERATING & BUSINESS METRICS

- Approved ANDAs: Mar-26 = 51 (150+ strengths) | Mar-25 = 22 | Trend: **Sharply Improving**
- Commercialized ANDAs: 20 launched | 31 approved-unlaunched | Trend: Large near-term runway
- ANDA Pipeline (Development): ~27 molecules / 60+ strengths over next 24 months
- Atlanta OSD Capacity: 1,200 Mn units/year (USFDA approved); 4th line deferred post-Apnar
- Apnar (Chhatral, Gujarat): 1,398 Mn units/year; USFDA + MHRA + Health Canada approved
- Emerging Markets: 450 approved products, 858 pipeline filings (Dec-25)
- CDMO Products Commercialized: 18 as of Dec-25 (up from 12 in Dec-24)
- India Field Force: 120-130 MRs; plateau target ~200; hospital-channel model

CC-5 — MARGIN DRIVERS

- Own ANDA product mix shift: +ve, Recurring: Yes | Rising share of own products lifts blended margin
- CDMO operating leverage: +ve, Recurring: Yes | Fixed cost absorption supports margin floor
- Apnar integration costs (Q4FY26): ~100 bps EBITDA, Recurring: No | Full cost, limited revenue in transition quarter
- EM per-unit realization: Rs.1.20 → Rs.1.90, Recurring: Yes | Niche molecule mix + better go-to-market
- US generic pricing: mild headwind, Recurring: Yes | Partially offset by complex/CGT product positioning
- Management target: 29-31% EBITDA blended | FY26: 27% | Apnar normalization + ANDA launches to drive expansion

CC-6 — GUIDANCE & FORWARD SIGNALS

- Revenue [GUIDANCE]: New = +30-40% for FY27 | Framed as "minimum achievable" | Credibility: High
- PAT [GUIDANCE]: New = +50-60% for FY27 | Implies Rs. 183-195 Cr vs. FY26 Rs. 122 Cr | Credibility: High
- EBITDA Margin [GUIDANCE]: Target 29-31% | FY26 actual 27% | Credibility: Medium-High
- Apnar Revenue [GUIDANCE]: FY27 = Rs. 80-100 Cr; FY29 target Rs. 180-200 Cr | Credibility: Medium
- Amerisyn JV [GUIDANCE]: FY27 = Rs. 50-100 Cr (conservative) | ~40% EBITDA | Credibility: Low-Medium
- Capex [GUIDANCE]: FY27 = ~Rs. 200 Cr (Rs. 100 Cr injectables + Rs. 100 Cr other) | vs. FY26 Rs. 230 Cr | Credibility: High
- FCF [GUIDANCE]: FY27 first year of positive FCF | Major inflection | Credibility: Medium
- Tax Rate [GUIDANCE]: Normalized ~23% | India ~26%, US ~20-21% | Credibility: High

CC-7 — CAPITAL ALLOCATION

- Capex FY26: Rs. 230 Cr (incl. ~Rs. 65 Cr ANDA acquisitions) | High but moderating
- Capex FY27 Guided: Rs. 200 Cr | Rs. 100 Cr injectables + Rs. 100 Cr other | Declining investment phase beginning
- IPO Proceeds Unused: ~Rs. 100 Cr earmarked for sterile manufacturing | Deployment in FY27 onwards | Disciplined
- Dividends: Rs. 0 | Payout 0% | Appropriate for growth phase; no change expected near-term
- Apnar Acquisition: 75% stake Q4FY26; remaining 25% by end CY/FY | Inorganic scale-up
- Net Debt Movement: Rs. 315 Cr (FY25) → Rs. 342 Cr (FY26) | Modest +Rs. 27 Cr | D/E improving 0.40 → 0.37

CC-8 — Q&A; HEAT MAP

- Analyst: Q: "Explain other financial assets and normalization timeline" → A: "Contractual profit-share per Ind-AS; recovered in 1-6 months; will plateau as launches mature." | Tone: Transparent
- Analyst: Q: "Apnar FY27 revenue trajectory?" → A: "Rs. 80-100 Cr target; Q1FY27 Rs. 10-20 Cr; significant commercial began April." | Tone: Transparent
- Analyst: Q: "Amerisyn JV detail and US government procurement?" → A: "High-barrier market; Rs. 50-100 Cr conservative FY27 estimate; ~40% EBITDA." | Tone: Bullish
- Analyst: Q: "Why defer Atlanta 4th line?" → A: "Post-Apnar, will revisit US vs. India capacity addition in next 2 quarters." | Tone: Transparent

- Analyst: Q: "Working capital days elevated at 132 — structural or transitory?" → A: "Apnar consolidation effect; ex-Apnar ~104 days; expect normalization." | Tone: Hedged
- Analyst: Q: "How many upcoming ANDAs qualify for CGT status?" → A: "Quite a few; some first-to-launch; cannot quantify today." | Tone: Hedged
- Dodged / Watch-list: Specific molecule-level ANDA pipeline; exact CGT count; Amerisyn JV deal structure and counterparty; Q1FY27 Apnar ramp pace.

CC-9 — RISKS FLAGGED (ON CALL)

- US Macro & Logistics: "Shipping, inflationary pressures" | Flagged by: Mgmt | Prob: M | Impact: M | Timeline: Near-term
- Apnar Ramp Uncertainty: Modest Q4 base; Rs. 80-100 Cr FY27 is a step-up | Flagged by: Analysts | Prob: M | Impact: H | Timeline: Near-term
- Working Capital Normalization: Elevated debtor days; profit-share receivables | Flagged by: Analysts | Prob: M | Impact: M | Timeline: Near-medium
- US Channel Pricing Pressure: GPO consolidation | Flagged by: Analysts | Prob: H | Impact: H | Timeline: Ongoing
- Amerisyn JV Unproven: New channel; revenue purely management projection | Flagged by: Mgmt | Prob: L-M | Impact: M | Timeline: Near-medium

CC-10 — ANALYST VERDICT

- Revenue visibility: **Intact** — 51 approved ANDAs, 30 unlaunched, Apnar ramp, Amerisyn JV provide multi-quarter visibility
- Margin trajectory: **Intact** — Management guiding 29-31%; Apnar normalization + ANDA mix supports expansion
- Capital allocation quality: **Watch** — Aggressive investment phase; FCF negative but FY27 guided positive inflection
- Competitive moat: **Intact** — CGT-eligible molecules, US government entry, CDMO relationships provide differentiation
- Management credibility: **Intact** — FY26 beat prior guidance; "minimum achievable" framing for FY27 increases beat probability
- Valuation comfort: **Watch** — 44.7x TTM P/E prices in growth; 27x FY27E P/E reasonable if guidance delivered
- Conviction call: **Increased** — Post Q4FY26 result, BUY conviction rises on guidance delivery and pipeline visibility
- Valuation snapshot: P/E = 44.7x (FY27E ~27x) | EV/EBITDA = 24.8x | ROCE = 15.1% | D/E = 0.37x